General Manager who would not have a seat on the Board. Responding to other criticisms of the functioning of the Imperial Bank, the Committee recommended abrogating the bank's power to execute proxies on behalf of shareholders under general powers of attorney, and granting fuller representation to various regional interests on its Local and Central Boards. The Committee also suggested the opening of one or two more LHOs to redress regional imbalances in its operations.

In regard to the Imperial Bank's tardy progress in Indianizing its senior appointments, the Committee hoped that 'with the changed political status of the country' the process would be accelerated. The assurance given by the bank that all senior appointments would be Indianized by 1955 was regarded as reasonably satisfactory.[7] Rather to the surprise and disappointment of those who had laboured to achieve it, the Imperial Bank's management decided, (largely it seems at Chisholm's urging), to repudiate the earlier informal understanding and reject the recommendations of the RBEC. Worse, its official reaction to the committee's proposals was dismissive, even derisive.

The recommendations were examined by the Imperial Bank and in a detailed memorandum Chisholm set out his arguments against many of the recommendations of the RBEC. He commenced by expressing doubts regarding the general policy suggested by the Committee and felt that an alternative solution might be found. It was wrong in principle, he wrote, for banking facilities 'to precede the demand for them' and pointed out that it was the bank's policy 'to give each place banking facilities commensurate with its importance and we cannot but feel that the Committee's proposals will involve Government in considerable expenditure at a time when the country can ill-afford it for an ultimate benefit which will be definitely long-term and highly problematical.'[8]

Regarding the proposed appointments of the bank's senior executives, Chisholm observed that these appointments had till then been 'free from political influences'. Chisholm also thought that there was no need for authorizing the government nominee on the bank's Board to seek 'postponement of decisions'. He felt that the recommendations of the Committee were concerned more with the bank's conduct of government business and 'largely ignored' its commercial business which was 'far more vital' to the bank.[9] Chisholm was, however, particularly hostile to the